

1. A member sits on a public company's board and buys the stock before a vote she knows will pass. What should she do?

A. Trade only after the vote is public and information is no longer MNPI.

B. Trade immediately for clients because the vote is nearly certain.

C. Tell her largest client so they can trade first.

D. Hedge with options in a personal account only.

Answer: A

Explanation: Board knowledge of a pending vote is material nonpublic information; she must wait until it is public and no longer MNPI.

2. A manager guarantees a client that the portfolio will beat the benchmark this year. The communication problem is

A. I(C) Misrepresentation of what can reasonably be promised.

B. III(E) Confidentiality of the benchmark construction.

C. II(B) Market Manipulation of the benchmark index.

D. IV(B) Additional Compensation from the guarantee.

Answer: A

Explanation: Promising a specific return or outperformance is a misrepresentation of what investment results can be

3. A firm pays a bonus to an analyst solely for issuing a buy rating on an investment-banking client. Independence is

A. Compensation is tied to a specific recommendation on a banking client.

B. The analyst used a discounted cash flow model.

C. The company is in the same industry as another coverage name.

D. The bonus is paid in cash rather than stock.

Answer: A

Explanation: Pay linked to a particular rating on a banking client impairs independence and objectivity under Standard

4. A private-wealth manager recommends a concentrated stock position because it is the manager's own largest holding.
- A. Failing to put the client's interests ahead of the manager's own.
 - B. Using material nonpublic information about the holding.
 - C. Misrepresenting the stock's historical dividend record.
 - D. Failing to sit for the next CFA exam window.

Answer: A

Explanation: III(A) requires loyalty, prudence, and care; recommending a position because it benefits the manager violates this standard.